TOPIC 3 · ECONOMIC ISSUES

ABS Lending Indicators via ABC News, AAP
Thursday 12 November 2026

New home lending suffers its biggest fall on record

> The value of new home loans fell 15.5% in the September quarter, the steepest drop since the ABS series began in 2002, and investors led the retreat.

WHAT HAPPENED

- The value of new housing loan commitments fell **15.5%** in the quarter; the number of new loans fell 15%.
- That is bigger than the falls during the **GFC** (−13.3%, 2008) and **COVID** (−12.9%).
- **Investor** loans fell 30.6% in number and 32.3% in value – the first full quarter after the May budget's investor tax changes.
- **Owner-occupier** lending fell 5.3%; **first home buyer** loans fell 8.6% in number (−12.3% over the year).
- The ABS says falls were broad-based across states, and investors were influenced by more than borrowing costs.

−15.5%
Value of new home loans, Sep quarter

−32.3%
Value of new investor loans

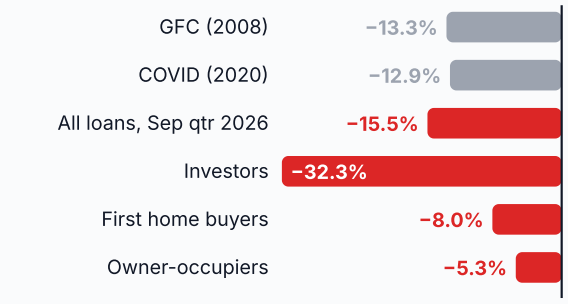
−5.3%
Owner-occupier loans

4.85%
RBA cash rate – highest since 2008

Lending Indicators: an ABS release measuring new loan commitments for housing, personal and business finance.
Wealth effect: when asset values (e.g. house prices) fall, households feel poorer and tend to spend less.

BAR CHART

How this fall compares (quarterly change in loan value, %)



Two forces are at work. **Higher interest rates** reduce how much people can borrow and make repayments dearer for everyone.

The much sharper fall for **investors** points to the budget's **tax changes** and to expectations of falling prices: J.P. Morgan describes the investor decline as a structural drag, steeper than in past rate-hiking cycles.

Exam angle: Housing is a large part of household **wealth**. Falling lending and prices can cut spending through the wealth effect, slow dwelling investment and reduce GDP growth.

FLOW CHART

From lending to growth

Higher cash rate + investor tax changes → Fewer and smaller new home loans → Lower housing demand and prices → **Weaker spending and GDP growth**

SYLLABUS LINK
Topic 3 – Economic growth and the components of aggregate demand; distribution of wealth (housing). Links to Topic 4 – monetary and fiscal policy.

TRY THIS
Explain how a fall in housing lending can affect economic growth and the distribution of wealth in Australia.
(4 MARKS)

Sources — ABC News business live blog: abc.net.au/news/2026-11-11/asx-markets-business-live-news-nov-11/107370848 · ABC News: abc.net.au/news/2026-11-11/plunge-in-new-home-loans-result-of-property-investors/107373668 · AAP/InDaily: indailyqld.com.au/news/just-in/2026/11/11/tax-changes-spur-record-fall-in-investor-home-loans

Figures as reported; diagrams are illustrative, not to scale.